Fiscal Sustainability Analysis & Impact of Proposed FY 2027-2028 Reductions

Information Technology

The Fiscal Gap

The Department of Information Technology is facing a structural deficit that cannot be resolved through standard efficiency measures. Our baseline expenditures are dictated by fixed personnel costs and non-negotiable software contracts essential to City operations.

	FY2027	FY2028
Total Expenditure	**$18,597,742.95****	**$18,932,622.95****
Proposed Revenue Target:	**$15,272,055.00***	**$15,272,055.00***
Annual Shortfall:	**($3,325,687.95)**	**($3,660,567.95)**

* We are mandated to reduce the GF portion of our revenue by 10% which equates to $1.44M less than the current $16.7M baseline. This creates a "pincer effect" where revenue is falling while fixed costs (Wages, Benefits, Operations and Maintenance) are rising.

** Note that our revenue is taken from CBE, which was understated to start with, but this report will work with the numbers as currently reported. We believe actual expenditures are closer to $3M more or about $21M.

Our Revenue Stream: General Fund

IT's main source of active revenue comes solely from the Internal Service Fund 680 (Cost Allocation). The only other "significant" fund source is the General Fund (011) that accounts for only about 7 percent of IT's total revenues, or about $1.2M.

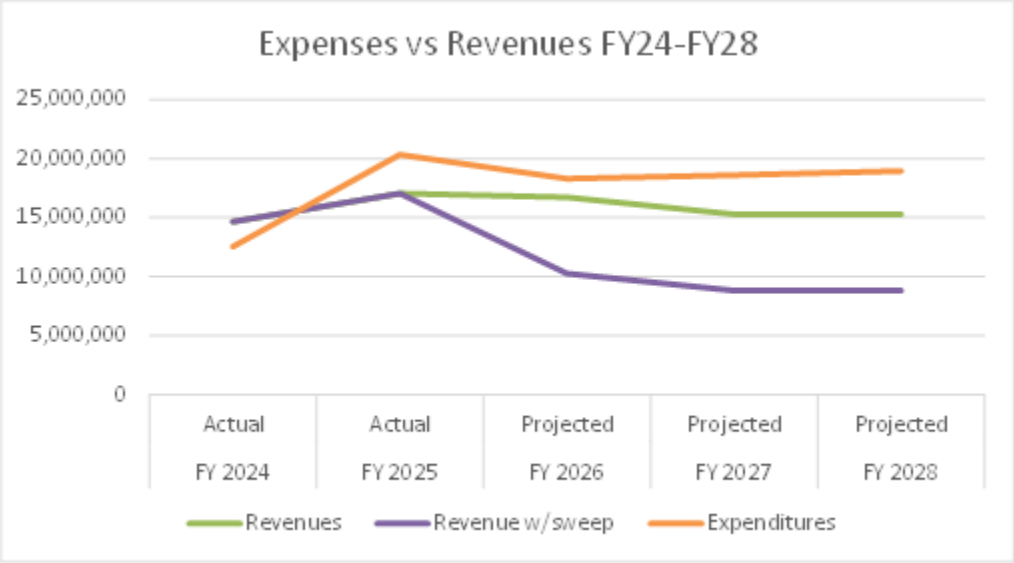
Account Code	Description	FY 2027 Baseline Budget ($)
011-35-361-000-0000-000-412-613120-	Tech Services Equipment	$38,205.61
011-35-361-000-0000-000-412-613130-	Tech Services Software	$93,800.00
011-35-361-000-0000-000-412-632110-	Telephone/Landline	$1,086.75
011-35-361-000-0000-000-412-641120-	Postage/Supplies	$970.00
011-35-362-376-0000-000-412-612990-	Alcor-ServiceNow Support	$57,705.40
011-35-362-376-0000-000-412-613130-	Everbridge, Accela,	$59,000.00
011-35-362-377-0000-000-412-613130-	Tyler New World Fire/Police	$351,000.00
011-35-363-380-0000-000-412-612990-	ConvergeOne	$100,000.00
011-35-363-380-0000-000-412-613130-	Carahsoft-Zoom	$68,686.00
011-35-363-382-0000-000-472-613130-	Cybersecurity	$380,000.00
		$1,150,454

We have completed the modeling for the requested 10% and 12.5% General Fund reductions. The actual budgetary impact results in a net savings of **$126,391 (11%)** in the first scenario and **$185,391 (16%)** in the second.

Impact of Historical Actions

It is vital to provide context on our starting position. In 2025, **$6,466,414.23** was removed from the IT Cost Allocation budget in a one-time sweep.

This represents the "stability reserve" that would have mitigated the current shortfall and by removing this revenue, the department no longer has a "buffer" to absorb the revenue reductions proposed by the Budget Office. We are now being asked to cut operational "muscle" because our fiscal "fat" was already harvested.



Our Revenue Stream: Cost Allocation (680)

The IT Cost Allocation (Fund 680) is funded through a complex formula that yields an annual per head cost. This value is $10,628.30 but has not been revised in several years to account for three critical "Cost Escalators“:

1. **Annual Vendor Inflation:** Enterprise software vendors implement on average, **12–15% price increases** upon renewal. **The Impact:** Our fixed-cost contracts are expiring; staying at the current baseline is effectively a service reduction.

2. **Unfunded Regulatory Mandates:** Cybersecurity requirements (CJIS, HIPAA, and insurance compliance) necessitate immediate infrastructure upgrades. **The Impact:** These are non-discretionary costs—meeting these mandates is required to maintain city operations and eligibility for insurance.

3. **Cumulative Technical Debt:** Deferring updates will create a "maintenance backlog.“ **The Impact:** We will be managing aging equipment that is more expensive to repair and maintain than to replace. The $10.6k baseline assumes "normal" operations, not the deferred maintenance recovery that will be required as a result of cuts.

The Pain of the Exercise

IT will reluctantly provide a 10% reduction plan based on current CBE figures. However, we must formally advise that cutting from an already understated revenue baseline does not yield true savings. Here's why:

- Benchmarking cuts against inaccurate starting figures creates a structural deficit. We are not "saving" money; we are deferring essential costs.
- Compounding Interest: Underfunding our $10,628.30 baseline results in "Technical Debt" that will inevitably come due as system failures or security breaches.
- Emergency fixes in the SF Bay Area are 3x to 5x more expensive than planned maintenance.*

**Industry Benchmarks (Siemens, US DOE): Reactive maintenance costs average 3–5x more than preventive measures.*

Balancing Strategy

Balancing Strategy	Impacts
• Reduce up to $3.2M annually in IT's project portfolio • Reduce up to $765K in personnel expenses through a permanent elimination of below:	Stripping $3.2M from a portfolio of key deliverables creates a critical disconnect between organizational requirements and the financial capacity to meet them, potentially affecting our ability to meet compliance, security, or regulatory obligations. When coupled with $765k in personnel cuts, we lose essential expertise needed to maintain systemic stability, shifting the department from a state of manageable risk to a certain path of operational failure and long-term technical debt.

Proposed Workforce Reductions	FY 27 Cost	FY 28 Cost
Application Programmer Analyst	$243,676.00	$250,770.00
Customer Service III	$139,692.00	$147,294.00
Project Manager II	$286,959.00	$292,781.00
Senior Information Systems Specialist	$176,403.00	$185,776.00
Totals	**$846,730.00**	**$876,621.00**

Permanent positions lost: 4

Conclusion

On paper, our cuts will reach the Budget Manager's target. But the reality is that we have 'balanced the books' by selling our insurance policy and firing the fire department (to use an analogy).

We have zero resilience: No reserves, Loss of permanent FTEs, Moving from Proactive Maintenance to "Hope-Based" Operations.

Between the 2025 $6.4M sweep and these proposed cuts, the IT Department is moving from a 'Modernization' posture to one of 'Fragile Survival.' We will be slower to respond, unable to innovate, and significantly more vulnerable to a catastrophic cyber event and/or infrastructure failure and an inability to address them.

Our resource pool (knowledge base) consist of contractors who are beyond their retirement years and may be not be available any time soon. We have already lost two FTE who had institutional knowledge of FUND$. *We need to modernize quickly.*

We are prepared to move forward if mandated, but the City must accept the heightened risk to operational continuity.

Thank You